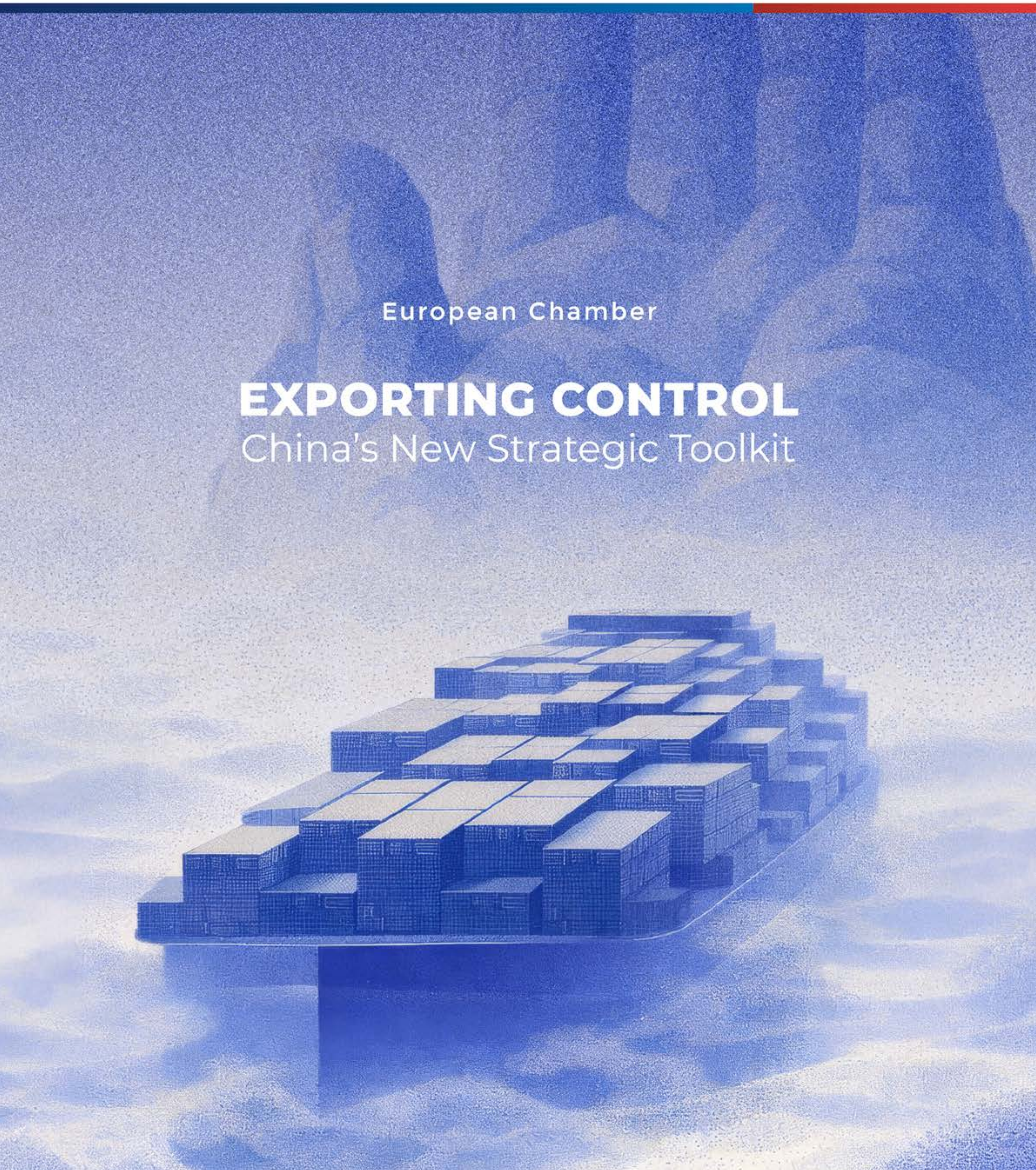
www.europeanchamber.com.cn

European Chamber
中国欧盟商会

European Chamber

EXPORTING CONTROL
China's New Strategic Toolkit



European Union Chamber of Commerce in China

www.europeanchamber.com.cn

The information contained herein is based on input and analysis from November 2025 to March 2026.

The information is provided for informational purposes only and should not be construed as business or legal advice on any specific facts or circumstances. No users of this report should act or refrain from acting on the basis of any content included without seeking appropriate professional advice.

The European Union Chamber of Commerce in China does not assume any legal liability or responsibility for the accuracy and completeness of the information provided in the report.

TABLE OF CONTENTS

President's Foreword

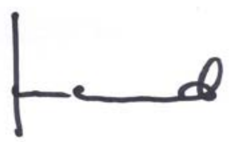
In 2025, export controls emerged as a critical issue for European Union (EU)-China relations. China's decision to roll out new export controls on certain rare earth elements (REEs) amid the then escalating United States (US)-China trade war led to widespread supply chain uncertainty, with many European Chamber members experiencing disruptions.

For some members, these disruptions have continued into 2026, leaving them in a perpetual 'firefighting' mode. While there have been improvements since the crisis began—such as the rollout of the EU's licence monitoring platform to expedite certain applications and the expansion of a promising general licence scheme—many companies are still unable to count on a reliable supply of REEs from China. On top of this, the clock is already counting down to later this year, when export controls announced in October 2025—including extraterritorial controls—are set to come into force.

Given this, we believe the publication of this report is well timed, and will hopefully be appreciated by key policymakers in China and elsewhere. Amid an increasingly turbulent global environment, China is well placed to leverage its strengths and demonstrate to its key trading partners, like the EU, that it can be relied upon as a sourcing destination for critical goods. However, the country's expanding export control regime threatens this, we believe, unnecessarily.

This report presents a case to China that implementing its export control regime in a more balanced and precise way that minimises disruptions would be to its long-term benefit. The European Chamber is keen to work with China's Government to ensure that the country can implement an export control regime that prevents the proliferation of weapons without raising unnecessary challenges to legitimate business.

I would like to thank each member company that agreed to be interviewed for this report, as well as the Chamber's Export Control Task Force, which, after its founding last year, has been an instrumental platform for coordinating the Chamber's activities on this important topic. Your involvement benefits European business as a whole and allows the Chamber to provide both European and Chinese stakeholders with the most up-to-date business concerns, as well as our constructive recommendations.



Jens Eskelund
President
European Union Chamber of Commerce in China

About the European Union Chamber of Commerce in China

The European Union Chamber of Commerce in China (European Chamber) was founded in 2000 by 51 member companies that shared a goal of establishing a common voice for the various business sectors of the European Union (EU) and European businesses operating in China. It is a member-driven, non-profit, fee-based organisation with a core structure of 51 working groups, sub-working groups, industry desks and forums representing European business in China.

The European Chamber now has over 1,600 members in seven chapters operating in ten cities: Beijing, Nanjing, Qingdao, Shanghai, Shenyang, South China (Guangzhou and Shenzhen), Southwest China (Chengdu and Chongqing) and Tianjin. Each chapter is managed at the local level by local boards reporting directly to the Chamber's Executive Committee.

The European Chamber is recognised by the European Commission and the Chinese authorities as the official voice of European business in China. It is also recognised as a foreign chamber of commerce by the Ministry of Civil Affairs. The European Chamber is part of the growing network of European Business Organisations (EBOs), which connects European business associations and chambers of commerce from 45 non-EU countries and regions around the world.

Mission Statement:

As a member-based organisation, the European Chamber seeks to:
- Ensure greater market access and a level playing field for European companies in China.
- Improve market conditions for all businesses in China.
- Facilitate networking among members and stakeholders.
- Bring specific information relevant to its members on doing business in China.
- Update its members on economic trends and legislation in China.

Principles:
- We are an independent, non-profit organisation governed by our members.
- We work for the benefit of European business as a whole.
- We operate as a single, networked organisation across Mainland China.
- We maintain close, constructive relations with the Chinese and European authorities while retaining our independence.
- We seek the broadest possible representation of European business in China within our membership: large, medium and small enterprises from all business sectors and EU Member States.
- We operate in accordance with Chinese law and regulations.
- We treat all our members, business partners and employees with fairness and integrity.

Executive Summary

Export controls remain an important mechanism for preventing the proliferation of weapons and the spread of items and technologies that have both civilian and military purposes to users with hostile intent. However, over the past decade there has been an increasing number of cases of them being repurposed as strategic trade measures. This process has been happening gradually, with first the United States (US) and now China rolling out new export controls under the auspices of national security, capitalising on the fact that some goods critical to global economic competition also have potential military uses. The European Union (EU), while continuing to base its export control regime around the principles and objectives of multilateral agreements such as the Wassenaar Arrangement,[1] is now also responding to this change.[2]

China’s shift toward a more strategic use of export controls became clear in April 2025, when it introduced controls on the export of rare earth elements (REEs) to all countries, apparently as retaliation against the US’ ‘liberation day’ tariffs.[3&4] The initial disruption this caused pushed some global supply chains to near breaking point, with many European Chamber member companies suffering as a result.[5] Then, on 9th October 2025, China announced increased restrictions citing national security concerns: the Ministry of Commerce (MOFCOM) announced an expansion of the scope of controls on REEs, and included additional controls on lithium-ion battery technology, controls on superhard materials and export restrictions on the equipment needed for the mining and processing of REEs and magnets.[6,7,8,9&10] Although the implementation of these measures was subsequently suspended for a year as part of an agreement with the US,[11] this announcement represented a major expansion of the country’s export control toolbox, particularly as it included extraterritorial provisions for the first time.[12&13]

The 9th October 2025 announcement can also be interpreted as a signal that China is beefing up its export controls with the hope of eventually matching those adopted by the US in terms of reach and leverage. China may see this as reasonable and proportionate, particularly when viewed through the lens of the US’ willingness to weaponise its export control mechanism, but—similar to how strategic US export controls are viewed by many US allies—this is not how it is being seen by its key trading partners, including the EU.

1 *The Wassenaar Arrangement: On Export Controls for Conventional Arms and Dual-Use Goods and Technologies,* updated 17th June 2025, viewed 23rd January 2026, <https://www.wassenaar.org/>

2 Szczepański, M., *Dual-use export controls as tools of EU economic security: From coordination to a proactive EU approach*, European Parliament, 17th October 2025, viewed 19th January 2025, <https://www.europarl.europa.eu/thinktank/fr/document/EPRS_BRI(2025)777960>

3 Jackson, L., Lv, A., Onstad, E., and Scheyder, E., *China hits back at US tariffs with export controls on key rare earths, Reuters*, 5th April 2025, viewed 23rd January 2026, <https://www.reuters.com/world/china-hits-back-us-tariffs-with-rare-earth-export-controls-2025-04-04/>

4 Chow, A.R., *How Rare Earths are Playing a Pivotal Role in the U.S.-China Trade War, Time,* 9th April 2025, viewed 23rd January 2026, <https://time.com/7275818/rare-earth-china-tariffs-metals-minerals/>

5 *European Chamber Survey Finds One in Three Looking to Divert Sourcing Away from China to Mitigate Impact of Export Controls,* European Chamber, 1st December 2025, viewed 12th February 2026, <https://www.europeanchamber.com.cn/en/press-releases/3757/european_chamber_survey_finds_one_in_three_looking_to_divert_sourcing_away_from_china_to_mitigate_impact_of_export_controls>

6 *Announcement No. 58 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision to Implement Export Controls on Items Related to Lithium Batteries and Artificial Graphite Anode Materials,* MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_aacba813b5b04e79a530aee7223b74a0.html>

7 *Announcement No. 62 of 2025 by the Ministry of Commerce Decision on the Implementation of Export Controls on Rare Earth-related Technologies*, MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_45be37e549f44e91a2c2b2f16389687a.html>

8 *Announcement No. 55 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision on the Implementation of Export Controls on Items Related to Superhard Materials*, MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_333950798cb04c7a8c517cdecf9c564c.html>

9 *Announcement No. 56 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision to Implement Export Controls on Certain Rare Earth Equipment and Related Raw and Auxiliary Materials,* MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_9ee7af86f4274dc1ad16d6d6a5e47245.html>

10 *Announcement No. 57 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision on Implementing Export Controls on Certain Medium and Heavy Rare Earth-related Items,* MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_1ace3f9f948845758206ad0be6869161.html>

11 *Announcement No. 70 of 2025 by the Ministry of Commerce and the General Administration of Customs Announcement of the Decision to Suspend the Implementation of Announcements Nos. 55, 56, 57, and 58 of 2025 by the Ministry of Commerce and the General Administration of Customs, and Announcements Nos. 61 and 62 of 2025 by the Ministry of Commerce,* MOFCOM, 7th November 2025, viewed 12th February 2026, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_2ec8b9f2c6404a56b311abc82d87f486.html>

12 Ma, J., *China announces export control measures on technologies related to rare earths, Global Times,* 9th October 2025, viewed 23rd January 2026, <https://www.globaltimes.cn/page/202510/1345279.shtml>

13 Davidson, H., *China steps up control of rare-earth exports citing ‘national security’ concerns, The Guardian*, 9th October 2025, viewed 23rd January 2026, <https://www.theguardian.com/world/2025/oct/09/china-steps-up-control-rare-earth-exports-national-security-concerns>

The degree of control that China has amassed through its quasi-monopolistic hold over certain critical supply chains, and the extent to which the country has already demonstrated its willingness to leverage it over critical technologies and materials, presents Europe with fundamental economic and national security concerns. At best, this may significantly damage mutually beneficial trade between the two economies; at worst, it could trigger the development and use of proportionate policies in response.

While the MOFCOM has emphasised that "export controls are not export bans",[14] they are effectively bans until companies obtain approval, which can take months in some cases.[15] Over the short term, the problems that many European companies encountered trying to navigate the export licence approval process for controls put in place in April 2025 resulted in significant operational and financial damage.[16] Although some have since obtained licences, there is now a recognition that China's emerging export control regime poses a long-term business risk, given that the ability to export a particular item could be taken away at any point based on political rather than security factors. In other words, the licensing system in place today can be used as both an approval mechanism and a coercive instrument in the future. This was made apparent by the restriction of REE exports to Japan in early 2026, which China's MOFCOM openly acknowledged as a response to remarks made by the Japanese prime minister.[17]

For some companies, there is an added concern that the detailed technical information they are required to provide for their REE export licence applications has presented China with the opportunity to map out global critical dependencies down to the geographical, company, product and individual-component levels. This raises the possibility for export controls to be deployed in a highly targeted manner, with the potential to act against individual industries or even companies.

This challenge is compounded by the fact that China now commands control over the supply of an increasing number of products that could be weaponised. According to one analysis, EU dependencies on China as a percentage of total imports hit 12 per cent in 2022, with US dependencies even higher at 16 per cent of imports.[18] This means that, beyond REEs, a significant number of other products are at risk of being impacted by strategic export controls in the future, with the inclusion of superhard materials in China's 9th October export control announcement being one such example.[19]

Realistically, China's strategic export controls announced in 2025 are not going to be abolished, but the country could adopt an approach that would still allow it to react proportionately to US escalations without disrupting trade with its key partners. This could start with a more effective export licence application process, with greater transparency and expedited timelines, but it would ultimately require a rollback in scope: while China may argue that it only imposes controls on goods likely to see military use, while ensuring protection for all other types of trade for legitimate civilian applications, in practice many of the country's newly introduced export controls appear to have strategic aims and cast a wide net. For cases in which controls are deemed absolutely necessary, they should be implemented in a way that mitigates collateral damage.

14 *Spokesperson for the Ministry of Commerce Responds to Journalists' Questions Regarding China's Recent Trade and Economic Policy Measures*, MOFCOM, 12th October 2025, viewed 16th October 2025 <https://www.mofcom.gov.cn/xwfb/xwfyrth/art/2025/art_98a53fdad5f847ed8cab0f93f4f4bf7a.html>

15 *European Chamber Survey Finds One in Three Looking to Divert Sourcing Away from China to Mitigate Impact of Export Controls,* European Chamber, 1st December 2025, viewed 12th February 2026, <https://www.europeanchamber.com.cn/en/press-releases/3757/european_chamber_survey_finds_one_in_three_looking_to_divert_sourcing_away_from_china_to_mitigate_impact_of_export_controls>

16 *Ibid.*

17 *Spokesperson for the Ministry of Commerce Responds to Journalists' Questions Regarding Enhanced Export Controls on Dual-use Items to Japan*, MOFCOM, 6th January 2026, viewed 20th January 2026, <https://www.mofcom.gov.cn/xwfb/xwfyrth/art/2026/art_1f25cb39adfa4561b34b4ea46d2bcee7.html>

18 The author defines a product as dependent when a country: "has a significant trade deficit in that good, as a result of imports being at least twice as high as exports; it has a significant bilateral supplier that accounts for at least 30 per cent of imports of that good; and if there are relatively few suppliers around the world, with the good's total exports scoring 0.25 or higher on the Herfindahl-Hirschman Index of market concentration." Chimits, F., *Growing asymmetry: Mapping the import dependencies in EU and US trade with China*, MERICS, 1st October 2024, viewed 4th February 2026, <https://merics.org/en/report/growing-asymmetry-mapping-import-dependencies-eu-and-us-trade-china>

19 Superhard materials are generally considered to be manmade materials with a diamond-like or greater level of hardness. China's announcement of export controls on superhard materials list more specific technical specifications on what is included. *Superhard materials*, Taylor & Francis, viewed 10th February 2026, https://taylorandfrancis.com/knowledge/Engineering_and_technology/Materials_science/Superhard_materials>; *Announcement No. 55 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision on the Implementation of Export Controls on Items Related to Superhard Materials*, MOFCOM, 9th October 2025, viewed 10th February 2026, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_333950798cb04c7a8c517cdecf9c564c.html>

It would also require a cancellation or rollback in scope of the extraterritorial export controls announced on 9th October 2025. While it is feasible that in its negotiations with China the US could secure an alternative solution, or even further delay their implementation, it would not be prudent for either the EU or European companies to bet on this outcome or trust that any postponement would last.

Whatever the outcome, the ability to use export controls for strategic purposes or as a tool for trade retaliation is finite as China, the US and the EU are throwing substantial resources at reducing their respective dependencies. Meanwhile, the damage done to global supply chains may be lasting. Just like the emergence of separate technological spheres around the world, overreaching export controls will contribute to the further re-organisation and regionalisation of supply chains over time, reducing economic efficiencies and the benefits of global trade.

The European Chamber is therefore keen to work with the Chinese authorities to find a long-term solution to the export control challenge, in the interests of maintaining a healthy and sustainable EU-China relationship, and creating a more reliable and predictable business environment. Not doing so would compel companies to work more on developing manufacturing capacity and sourcing outside of China—something many are already doing—while increasing risk for China itself, particularly as the country looks set to maintain a focus on export-driven growth. The EU's current dependencies would see it suffer a disproportionately large amount of short-term damage if China were to implement extraterritorial export controls, but in the long run, China's reputation as a reliable trading partner and sourcing destination would suffer significant and perhaps irreversible damage.

Recommendations to China

- Rollback plans to implement extraterritorial export controls on EU companies.
  - Elevate the EU's role in discussions on export controls and avoid a 'one size fits all' approach.
- Refrain from weaponising export controls and ensure that implementation is gradual.
  - Limit the use of export controls to genuine 'dual-use' items, and ensure that the controls are proportionate to risk and are not used to meet geopolitical goals or as retaliation in trade wars.
  - Ensure that additional export controls are only put in place for items likely to see military use.
  - Establish broader humanitarian exemptions to prevent disruptions to the supply of essential goods, including healthcare equipment.
- Engage regularly with chambers of commerce on export controls, ensuring that companies' concerns are clearly understood.
- Implement export controls in a way that prevents general supply chain disruptions or mitigates them to the greatest extent possible.
  - Communicate implementation details for new controls to businesses as early and transparently as possible.
  - Ensure that applications submitted to the MOFCOM through the European Commission's licence monitoring platform are expedited, including shipments with an EU end user that do not move directly from China to the EU.
- Develop licence application and customs clearance processes that are clear, transparent and applicable to all legitimate applicants.
  - Shorten application processing timelines.
  - Restrict the amount of corporate information required for licence applications to only that which is strictly necessary.
  - Ensure a predictable application process in which required information only needs to be submitted once and requirements remain consistent across different localities.
  - Implement longer licence validity periods, such as for multiple years.
  - Issue licences with a broader scope, allowing the export of different products and goods to different end users.
  - Streamline customs clearance processes to prevent delays even once licences have been obtained, and ensure full transparency if goods are sent for laboratory testing.

  - Publish information about licence requirements, including general licences.
  - Provide regular updates on the status of applications during the processing period.
  - Provide contact points for European companies at local departments of commerce, the MOFCOM and the General Administration of Customs.
- Provide a mechanism for appeals when company applications are rejected.

Recommendations to the EU

- Advocate for the cancellation or modification of China's proposed extraterritorial export controls.
- Take steps to avoid the EU becoming a passive recipient of US-led negotiations with China, asserting the need for the EU to take the lead in discussions on issues that impact it.
- Leverage EU strengths, using the trade defence toolbox when necessary.
- Map dependencies in a precise manner to understand where risk lies.
  - Prioritise addressing dependencies likely to cause significant damage to European economic and national security.
- Develop country-agnostic mechanisms to reduce dependencies.
- Develop policies that make European alternatives to critical materials from China and other non-EU countries more commercially viable.
- Maintain a constructive and results-orientated dialogue with China on export controls.
  - Continue to provide and improve the licence monitoring platform.

Recommendations to European companies with supply chains linked to China

- Understand where dependencies on China lie, even if deep within the supply chain.
  - Develop alternative options for the supply of critical inputs, even if only accounting for a small portion of supply.
- Make use of the EU's licence monitoring platform for all licence applications for shipments destined for the EU.
- Prepare for scenarios in which China applies extraterritorial export controls.
- Engage regularly with the European Chamber to ensure that all export control challenges are clearly understood so they can be communicated to relevant stakeholders.

The expanding scope of export controls

Modern export controls stem from the idea that a state can deny a foreign entity access to items or technology that could be used for hostile acts against that state or others. While it is understandable that no country wishes to arm its adversaries, export controls have evolved into a far more versatile instrument that—while still helping to prevent armed conflict—can now have an immediate impact on globalisation and economic security. This is partially due to a convergence of civilian and military technologies (such as semiconductors), but scope creep—which is taking place as states leverage this powerful tool for an ever-greater range of purposes—is the primary reason. The ability to now use export controls to both limit other countries' ability to develop certain technologies and serve as coercive instruments during trade disputes raises the likelihood they will be deployed more frequently.

Throughout 2025, China played an important role in this shift, with the country demonstrating a greater willingness to leverage export controls in trade disputes while also laying the groundwork for a more robust export control regime that aims to ensure control over certain critical items for as long as possible. However, China is not the only market doing this, with the US, and to a limited extent the EU, pushing the envelope of export controls as well. The current direction of travel risks becoming a race to the bottom, which could see major economic powers further weaponising the complex web of economic interdependencies that globalisation facilitated.

A century in the making

The US pioneered the modern use of export controls over a century ago, after they were introduced as part of the Trading with the Enemy Act in 1917.[20] The US president's ability to use the tools provided by the Act was initially limited to wartime, and was rescinded after the end of World War I.[21] Since then, the scope of US export controls has been gradually increased. Powers that were originally only permitted for use on designated enemy states were expanded to cover all countries during World War II.[22] A peacetime framework governing the export of dual-use items was then established in 1949,[23] with the country's extraterritorial control regime beginning to take shape around the same period.[24] Today, the US operates complex export controls that have extraterritorial reach, and that are even imposed on some products that contain no US components and which never cross US borders.[25]

It should be noted that much of the US export control framework is widely supported and is in line with a number of multilateral regimes. These include the Wassenaar Arrangement,[26] the Missile Technology Control Regime,[27] the Australia Group[28] and the Nuclear Suppliers Group,[29] which govern commitments to prevent the proliferation of different types of weapons and dual-use items.[30] The EU's export control regime is also closely linked to these multilateral regimes, and the EU remains a key partner in their enforcement.[31]

20 In 1917, the US congress passed the Trading with the Enemy Act, allowing the president to restrict economic activity, including exports, with 'enemy states'. Wallerstein, M., and Snyder, W., *Finding Common Ground: U.S. Export Controls in a Changed Global Environment Appendix G*, The National Academies Press, Washington DC, 1991, pp. 309–320, <https://www.nationalacademies.org/read/1617>

21 *Ibid.*

22 *Ibid.*

23 *Finding Common Ground: U.S. Export Controls in a Changed Global Environment (1991) Chapter: 6 The U.S. and Multilateral Export Control Regimes*, National Academies of Sciences, Engineering, and Medicine, 1991, Washington, DC, The National Academies Press, viewed 16th January 2026, <https://doi.org/10.17226/2526>

24 Beeres, R., Bertrand, R., Klomp, J., Timmermans, J., Voetelink, J., 2022, *Limits on the Extraterritoriality of United States Export Control and Sanctions Legislation*, NL ARMS Netherlands Annual Review of Military Studies 2021, pp. 187–287, viewed 6th March 2026, Springer Nature, <https://doi.org/10.1007/978-94-6265-471-6_11>

25 Lee, J., and Nellis S., *Explainer: What is 'FDPR' and why is the U.S. using it to cripple China's tech sector?, Reuters*, 8th October 2022, viewed 12th January 2026, <https://www.reuters.com/technology/what-is-fdpr-why-is-us-using-it-cripple-chinas-tech-sector-2022-10-07/>

26 *The Wassenaar Arrangement: On Export Controls for Conventional Arms and Dual-Use Goods and Technologies*, updated 17th June 2025, viewed 23rd January 2026, <https://www.wassenaar.org/>

27 *Missiles Technology Control Regime*, viewed 23rd January 2026, <https://www.mtcr.info/en>

28 *The Australia Group*, viewed 23rd January 2026, <https://www.dfat.gov.au/publications/minisite/theaustraliagroupnet/site/en/index.html>

29 *Nuclear Suppliers Group*, viewed 23rd January 2026, <https://www.nuclearsuppliersgroup.org/index.php/en/>

30 *Exporting dual-use items,* European Commission, viewed 14th January 2025, <https://policy.trade.ec.europa.eu/help-exporters-and-importers/exporting-dual-use-items_en>

31 *Ibid.*

However, these agreements are all narrow in scope. For example, the Australia Group is focussed on chemical and biological weapons, the Nuclear Suppliers Group on nuclear non-proliferation, and the Missile Technology Control Regime on missiles.[32] The 1996 Wassenaar Arrangement focusses on conventional weapons, which includes dual-use items, but the inclusion of Russia as a party has curbed its ability to update control lists following the country's invasion of Ukraine in 2022.[33]

Thus, these international frameworks have proved unsuitable to support the US' expanding export control ambitions amid a rapidly evolving technological landscape. In order to develop more expansive export controls, such as those on the most advanced semiconductors and related technology, the US has turned instead to a more bespoke approach.[34] This has included arrangements with traditional allies, such as those with Japan and the Netherlands, both of which agreed to impose export controls aimed at restricting China's access to key strategic technologies.[35] However, the approach of operating outside the various international frameworks has attracted criticism.

Although it would be logical to assume that the matrix of export controls that the US has developed necessitates a willingness among the country's extensive network of allies and otherwise aligned states to support their use, to an extent the opposite is true. In fact, it has been argued that the US' failure to "fully align US security and foreign policy goals with the interests and economic defense policies of other Western states", even during the Cold War period, is the reason that it created extraterritorial legislation in the first place.[36] Since its creation, this legislation has been used as a mechanism to force compliance with US objectives abroad instead, even when those objectives do not fully align with the policies of its allies. The US' extraterritorial controls have thus become a major source of tension with the EU, despite the bloc's reluctant cooperation in allowing their enforcement. This frustration was given voice in 2020, when the French minister of economy and finance stated that, "The European Union must be free to trade legitimately with the entities and countries it wishes, without extraterritorial provisions impeding its economic operators. It is a question of European sovereignty."[37]

For all the upset the US' expansive export control regime has caused, there is still a meaningful debate about whether it is entirely effective. Cutting off other markets from the supply of critical goods and technologies has often resulted in those markets accelerating the development of their own capabilities, sometimes to the detriment of US industry.[38] For example, the addition of Chinese telecommunications giant Huawei to the US' entity list in 2019—a strategic use of export controls—may have made both the company and China stronger.[39&40] While there is a counterargument that restricting Huawei has slowed China's artificial intelligence capabilities,[41] China's reluctance to allow its companies free access to Nvidia's H200 chips—which were subject to US export controls that have since been removed by the Trump administration[42] —is a sign that China may see significant long-term benefit from bearing the short-term pain of these restrictions.

32 *About us*, The Wassenaar Arrangement, viewed 14th January 2026, <https://www.wassenaar.org/about-us/>
33 Szczepański, M., *Dual-use export controls as tools of EU economic security: From coordination to a proactive EU approach*, European Parliament, 17th October 2025, viewed 19th January 2025, <https://www.europarl.europa.eu/thinktank/fr/document/EPRS_BRI(2025)777960>
34 Shivakumar, S., Wessner, C., and Tomoshige, H., *Toward a New Multilateral Export Control Regime*, Center for Strategic & International Studies, 10th January 2023, viewed 12th January 2026, <https://www.csis.org/analysis/toward-new-multilateral-export-control-regime>
35 Mochizuki, T., Koc, C., and Elstrom, P., *Japan to Join US Effort to Tighten Chip Exports to China*, *Bloomberg*, 13th December 2022, viewed 12th January 2026, <https://www.bloomberg.com/news/articles/2022-12-12/japan-is-said-to-join-us-effort-to-tighten-chip-exports-to-china>
36 Beeres, R., Bertrand, R., Klomp, J., Timmermans, J., Voetelink, J., 2022, *Limits on the Extraterritoriality of United States Export Control and Sanctions Legislation*, NL ARMS Netherlands Annual Review of Military Studies 2021, pp. 187–287, viewed 6th March 2026, Springer Nature, <https://doi.org/10.1007/978-94-6265-471-6_11>
37 *Ibid.*
38 Lewis, J.A., *The End of Export Controls*, Center for Strategic and International Studies, 28th September 2023, viewed 13th January 2026, <https://www.csis.org/analysis/end-export-controls>
39 Shepardson, D., and Freifeld, K., *China's Huawei, 70 affiliates placed on U.S. trade blacklist, Reuters*, 16th May 2019, viewed 12th February 2026, <https://www.reuters.com/article/business/chinas-huawei-70-affiliates-placed-on-us-trade-blacklist-idUSKCN1SL2W4/>
40 Balbontin, R., *Backfire: Export Controls Helped Huawei and Hurt U.S. Firms*, Information Technology & Innovation Foundation, 27th October 2025, viewed 20th January 2026, <https://itif.org/publications/2025/10/27/backfire-export-controls-helped-huawei-and-hurt-us-firms/>
41 McGuire, C., *China's AI Chip Deficit: Why Huawei Can't Catch Nvidia and U.S. Export Controls Should Remain*, Council on Foreign Relations, 15th December 2025, viewed 20th January 2026, <https://www.cfr.org/articles/chinas-ai-chip-deficit-why-huawei-cant-catch-nvidia-and-us-export-controls-should-remain>
42 *Exclusive: China's customs agents told Nvidia's H200 chips are not permitted, sources say, Reuters,* 14th January 2026, viewed 13th February 2026, <https://www.reuters.com/world/china/chinas-customs-agents-told-nvidias-h200-chips-are-not-permitted-sources-say-2026-01-14/>

Despite this apparent flaw, China appears to be constructing its own export control framework closely modelled on the US'. With its tightening grip on various strategic technologies, China is now well poised to use this control to bolster both its economic security and global influence. Its growing capacity to exercise economic and political leverage could also make US-style extraterritorial controls feasible, something no other country or territory has been able to achieve at the same scale. China's announcement of extraterritorial export controls on 9th October 2025 is perhaps the clearest signal yet that this is happening, even if on a delayed timeline, with implementation having been postponed as part of a short-term US-China agreement.

China's increasing number of controls over technology, rather than just physical goods, also closely follows the US approach and demonstrates a desire to slow the development of equivalent capabilities in other countries. As the US has demonstrated, it is indeed possible to build a wide-reaching export control regime without full or proactive support from allies, meaning that such a goal could well be within China's reach. To some extent, China is even better placed to do this given other countries' high degree of dependence on it for critical goods like REEs, whereas many of the leading technologies that the US wields control over depend on cooperation with a number of its allies. China's investment in the vertical integration of strategic industries means that it will take longer before other markets will be able to develop meaningful alternatives.

The EU approach: Set to follow in the footsteps of the US and China?

Compared to US and Chinese export controls, the EU's export controls are more closely aligned with multilateral agreements like the Wassenaar Arrangement than with those focussed on items strategic to the bloc's economy.[43] However, this could be set to change. In November 2025, the EU updated its dual-use control list to reflect changes agreed upon by the various multilateral regimes as usual, but for the first time it also included a new set of strategic technologies not agreed upon multilaterally.[44] One of the main justifications for this was Russia's unwillingness to allow some updates to occur through multilateral frameworks, but it is significant that this has taken place at the same time that there are increasing calls for the EU to strengthen its export control regime given that emerging technologies are often proving strategically important.[45]

Export controls in the EU can be enacted at an EU-wide level, or by individual Member States, although both are implemented and enforced exclusively by Member States.[46] More than half of EU Member States implement their own additional controls on top of EU-wide controls, something that raises the risk of 'forum shopping', whereby Member-State-specific controls can be circumvented by exporting the goods out of an EU Member State that does not control that specific item.[47] This has led to calls for a more robust EU export control regime and/or better coordination among Member States. This would have the benefit of creating a more coherent EU export control framework while also allowing EU export controls to be updated independently of international agreements, something that Russia's invasion of Ukraine has proved necessary.

As part of its economic security strategy, the EU is carrying out a review of its *Dual-use Export Control Regulation* (*Regulation*) to assess "whether the *Regulation* achieves its objectives in the context of the new geopolitical and geoeconomic realities, including the impacts of increasing recourse to unilateral controls that may also impact the

43 Szczepański, M., *Dual-use export controls as tools of EU economic security: From coordination to a proactive EU approach*, European Parliament, 17th October 2025, viewed 19th January 2025, <https://www.europarl.europa.eu/thinktank/fr/document/EPRS_BRI(2025)777960>

44 *EU updates dual-use control list: New controls on emerging technologies and shift in export control policy,* Hogan Lovells, 24th November 2025, viewed 19th January 2025, <https://www.hoganlovells.com/en/publications/eu-updates-dualuse-control-list-new-controls-on-emerging-technologies-and-shift-in-export-control>

45 Szczepański, M., *Dual-use export controls as tools of EU economic security: From coordination to a proactive EU approach*, European Parliament, 17th October 2025, viewed 19th January 2025, <https://www.europarl.europa.eu/thinktank/fr/document/EPRS_BRI(2025)777960>

46 Thoms, A., and McKenzie, B., *Export Controls in the European Union*, Global Investigations Review, Lexology, 9th July 2022, viewed 14th January 2026, <https://www.lexology.com/library/detail.aspx?g=4756ed53-3764-4d93-ad1a-afbbe681810b>

47 Szczepański, M., *Dual-use export controls as tools of EU economic security: From coordination to a proactive EU approach*, European Parliament, 17th October 2025, viewed 19th January 2025, <https://www.europarl.europa.eu/thinktank/fr/document/EPRS_BRI(2025)777960>

Single Market."[48] While no plans to update the *Regulation* have been announced, the groundwork is being laid to do so in the future.

So, while the EU's export control ambitions lag behind those of China and the US, and are still grounded in traditional concerns about the proliferation of weapons, this could change as the line between national and economic security is further blurred.

Export controls with Chinese characteristics

During its early stages, China's export control regime developed largely around international commitments. Its first use of export controls occurred in 1995 with the *Regulations on the Administration of Controlled Chemicals*.[49] Then, in 1997, China introduced the *Regulations on Nuclear Export Controls*, which had the stated intent of preventing the proliferation of nuclear weapons and ensuring they could not be obtained by terrorist organisations.[50] The move was likely encouraged by the US amid concerns about China potentially aiding Pakistan's nuclear weapons programme.[51]

Shortly after, China became a party to the Zangger Committee, a framework for nuclear non-proliferation, and it later joined the Nuclear Suppliers Group in 2004.[52] Throughout the 2000s, China expanded its export control regime through the introduction of various regulations governing different weapons categories, much of which brought it in line with international standards for preventing the spread of certain weapons. However, China was simultaneously learning the influence that its dominance in REE supply chains could have on global trade.[53]

48 *Strengthening EU Economic Security,* CIRCABC, 3rd December 2025, viewed 3rd March 2026, <https://circabc.europa.eu/ui/group/7fc51410-46a1-4871-8979-20cce8df0896/library/777b1ecb-e7ce-4774-a92c-53f81e64ce76/details?open=true>

49 *Regulations of the People's Republic of China on the Management of Monitored Chemicals*, MOFCOM, 30th December 2021, viewed 6th March 2026, <https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/gzjgfxwj/202111/439.html>

50 *Regulations of the People's Republic of China on Nuclear Export Controls*, MOFCOM, 30th December 2021, viewed 19th January 2026, <https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/gzjgfxwj/202111/440.html>

51 Jones, R., McDonough, M., Dalton, T., and Koblentz, G., *Tracking Nuclear Proliferation: A Guide in Maps and Charts*, Columbia, 1998, viewed 20th January 2026, <https://ciaotest.cc.columbia.edu/book/jones/jones03c.html>

52 *Full text: China's Export Controls*, State Council, 29th December 2021, viewed 21st January 2026, <http://english.scio.gov.cn/whitepapers/2021-12/29/content_77959046_5.htm>

53 Bradsher, K., *China Bans Rare Earth Exports to Japan Amid Tension, The New York Times,* 23rd September 2010, viewed 21st January 2026, <https://www.cnbc.com/2010/09/23/china-bans-rare-earth-exports-to-japan-amid-tension.html>

China’s export controls are now backed by a comprehensive legal framework. What started as bespoke regulations on military items in the 1990s has grown into a clear legal means of legitimising the country’s present-day export control ambitions.

Timeline of Key Chinese Export Control Policies[54]

1995

- **December 1995:** *Regulations on the Administration of Controlled Chemicals*
- **September 1997:** *Regulations on Nuclear Export Controls*
- **October 1997:** *Regulations on the Administration of Military Goods Exports*
- **June 1998:** *Regulations on Nuclear Dual-use Items and Related Technologies Export Controls*
- **December 1998:** *Catalogue of Technologies Prohibited or Restricted for Export*

From the mid-to-late 1990s, China began to take steps to govern and limit the export of certain chemical, nuclear and military products. This was largely due to the need to adhere to international non-proliferation norms and standards under continued international pressure. China also established its first export control list in 1998.

2001

- **November 2001:** *Regulations on the Administration of Technology Import and Export*

China established its first formal comprehensive technology import/export control mechanism in 2001, aiming to further align with international standards.

2002

- **August 2002:** *Regulations on Missiles and Missile-related Items and Technologies Export Controls*
- **October 2002:** *Regulations on Dual-use Biological Agents and Related Equipment and Technologies Export Controls*

China further expanded its regulations for export controls over biological agents and missile-related technologies.

2005

December 2005: *Measures for the Administration of Import and Export Licensing of Dual-use Items and Technologies*

China announced measures for the administration of import and export licensing for dual-use items and technologies for the first time.

2020

- **September 2020:** *Provisions on the Unreliable Entity List*

With the *Provisions on the Unreliable Entity List*, China joined several other nations in maintaining its own sanctions list that restricts trade with listed entities. The move was seen as a reaction to the US entity list.

- **October 2020:** Export Control Law

China promulgated the Export Control Law, which includes provisions on systems, measures and international cooperation on export controls. It sets a basic institutional framework that unifies rules for export control policies over dual-use, military and nuclear technologies while introducing extraterritorial jurisdiction and reciprocal measures mirroring US-style restrictions.

2024

- **September 2024:** *Regulation on the Export Control of Dual-use Items*
- **November 2024:** *List of Dual-use Items Subject to Export Controls*

China released the first unified *Export Control List of Dual-use Items* under the *Regulations on the Export Control of Dual-use Items* framework. The list consolidates previous export controls on dual-use items.

54 This timeline is not exhaustive. Links to laws and regulations listed in this timeline are available on page 26.

It was not until 2020 that the country passed its Export Control Law, which brought a growing but fragmented export control regime under a comprehensive legal framework.[55] Under the law, the *Regulations on Export Control of Dual-use Items* (*Regulations*) entered into force in December 2024, further strengthening China's dual-use export control legal structure with a single list of items designated as having dual military and civilian uses.[56] Initially, the introduction of this list brought no practical change in terms of which items were controlled, but it was under this framework that additional export controls on REEs were rolled out in 2025.

The *Regulations'* list currently contains about 900 items, something the MOFCOM has noted makes China's export control regime less restrictive than the US', which controls over 3,000 specific items.[57] For comparison, the EU's list sits in the middle at about 1,800 items.[58] However, fewer listed items—while likely in part due to China's non-participation in key multilateral regimes such as the Wassenaar Arrangement—are not necessarily a sign of less restrictive export controls. In some cases, more list entries can actually be a result of careful delineation to separate military-grade items from those likely to see only civilian use, making the controls less disruptive. In several cases, China's controls are simply broader and thus catch a higher proportion of civilian-use items in scope. For example, the EU controls tellurium at a purity of 99.9995 per cent or greater,[59] while China's controls on tellurium introduced in early 2025 apply to tellurium of any purity.[60]

Perhaps most notably, the *Regulations* also serve as the most coherent framework for China's proposed extraterritorial export controls, directly outlining the country's ability to exert control over certain types of goods in overseas markets.

It is also noteworthy that Article 49 of the *Regulations* appears to match the US export control framework in terms of scope.

Article 49[61&62]

Where overseas organisations and individuals outside of the People's Republic of China transfer or provide goods, technologies, and services which meet the following descriptions to specific countries, regions, organisations, or individuals, the competent commerce department of the State Council may require the relevant operators to comply with the relevant provisions of these Regulations:

1. *Dual-use items manufactured overseas that contain, incorporate, or are mixed with specific dual-use items originating from the People's Republic of China;*
2. *Dual-use items manufactured overseas using specific technologies or other dual-use items originating from the People's Republic of China;*
3. *Specific, dual-use items originating from the People's Republic of China.*

55 *Export Control Law of the People's Republic of China*, MOFCOM, 30th December 2021, viewed 12th February 2026, <https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/flfg/202111/226.html>

56 *Regulations of the People's Republic of China on the Export Control of Dual-use Items,* MOFCOM, 30th September 2024, viewed 28th January 2026, <https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/gzjgfxwj/202410/1057.html>

57 *Spokesperson for the Ministry of Commerce Responds to Journalists' Questions Regarding China's Recent Trade and Economic Policy Measures*, MOFCOM, 12th November 2025, viewed 26th February 2026, <https://www.mofcom.gov.cn/xwfb/xwfyrth/art/2025/art_98a53fdad5f847ed8cab0f93f4f4bf7a.html?utm_source=chatgpt.com>

58 Szczepański, M., *Dual-use export controls as tools of EU economic security: From coordination to a proactive EU approach*, European Parliament, 17th October 2025, viewed 19th January 2025, <https://www.europarl.europa.eu/thinktank/fr/document/EPRS_BRI(2025)777960>

59 *Commission Delegated Regulation (EU) 2025/2003 of 8 September 2025 amending Regulation (EU) 2021/821 of the European Parliament and of the Council as regards the list of dual-use items*, EUR-Lex, 8th September 2025, viewed 26th February 2026, <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=celex%3A32025R2003>

60 *Announcement No. 10 of 2025 by the Ministry of Commerce and the General Administration of Customs Announcement of the Decision to Implement Export Controls on Items Related to Tungsten, Tellurium, Bismuth, Molybdenum and Indium,* MOFCOM, 4th February 2025, viewed 12th February 2026, <https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/zcfggzqd/202502/1098.html>

61 *Regulations of the People's Republic of China on the Export Control of Dual-use Items,* MOFCOM, 30th September 2024, viewed 28th January 2026, <https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/gzjgfxwj/202410/1057.html>

62 Translated from Chinese by the European Chamber.

- Point 1 closely aligns with the US' de minimis content rule, which subjects foreign-made products that contain US content to US export controls in some cases.[63]
- Point 2 aligns closely with the US' Foreign Direct Product Rule, which governs items produced outside of the US with certain US technology or equipment, or that use certain US software.[64]
- Point 3 is in line with the principle of extraterritoriality under the US' *Export Administration Regulations*, which effectively establishes a 'rule follows the part' principle, meaning that re-exports of controlled US goods are still subject to US export controls.[65]

Nearly 30 years after China launched its first export controls, the country looks increasingly poised to catch up to the US, at least in terms of capabilities. The robust legal framework needed to build a more comprehensive export control regime is now in place, which rather than restrict China's export controls instead allows for their expansion as needed.

The only real constraints that China now faces will be practical, with its ability to practically implement controls and handle backlash from trading partners the only factors standing in the way of further expansion. However, as 2025 showed, the deployment of export controls can result in an enormous administrative burden that both disrupts legitimate trade and elicits significant pushback, and even retaliation, from trading partners. The already stretched capabilities of the MOFCOM to process licence applications for exports from China therefore suggests that an imminent expansion of the entire licensing system that includes extraterritoriality would be challenging. It is important to understand, however, that their full implementation may not be necessary, at least in the short term. Extraterritorial export controls on paper—even without overseas enforcement or the practical ability to issue the number of licences that would be needed—may prove to be a useful tool should the need arise. Companies could easily find themselves trapped in a compliance grey area, with China able to bring the hammer down at any moment.

63 *15 CFR § 734.4 - De minimis U.S. content*., Cornell Law School, viewed 20th January 2025, <https://www.law.cornell.edu/cfr/text/15/734.4>

64 *Understanding the Foreign Direct Product Rule*, Export Compliance Training Institute, 20th December 2022, viewed 19th January 2026, <https://learnexportcompliance.com/insights/understanding-the-foreign-direct-product-rule>

65 Voetelink, J., 2023, *The Extraterritorial Reach of US Export Control Law*, Journal of Strategic Trade Control, volume 1, 2023, viewed 20th January 2026, PoPuPS, item: 10.25518/2952-7597.57, <https://popups.uliege.be/2952-7597/index.php?id=57)bedenklich#:~:text=In%20other%20words%2C%20whereas%20the,Sub%20j:%20Iran%20FDP%20rule.>

The use of export controls as part of the US-China trade war

Export controls have become a feature of the US-China trade war, with both sides contributing to an escalation in their use.

Note: "❯" in any colour represents one month. Citations for this timeline can be found on page 27.

2022

7th October: The US announced new export controls on "advanced computing integrated circuits (ICs), computer commodities that contain such ICs, and certain semiconductor manufacturing items." The rules aim to restrict China's ability to obtain advanced computing chips, develop and maintain supercomputers, and manufacture advanced semiconductors.[1]

2023

3rd July: China announced export controls on gallium and germanium, two critical elements for semiconductor manufacturing.[2]

18th October: The US released three rules updating the controls announced on 7th October 2022, further restricting China's ability to both purchase advanced computing chips and manufacture advanced chips.[3]

20th October: China expanded existing export controls on seven graphite-related items to a total of nine graphite-related items.[4] Graphite is a key component in electric vehicle batteries.[5]

2024

26th August: China announced export controls on antimony and related items.[6] Antimony is used in a wide range of products, from flame retardants to semiconductors to textiles.[7]

2nd December: The US announced a package of rules designed to further impair China's capability to produce advanced-node semiconductors.[8]

2025

1st February: The US imposed a 10 per cent tariff on all goods from China, effective 4th February, and ended the de minimis exemption that allowed some small goods to enter the US without paying duties.[9]

4th February: China announced export controls on tungsten, tellurium, bismuth, molybdenum, indium and their related items.[10]

China also announced tariffs on selected items from the US, including coal, crude oil and some types of vehicles.[11]

3rd March: The US increased its 1st February tariff from 10 per cent to 20 per cent.[12]

4th March: China added 15 US entities to its Export Control List, prohibiting the export of dual-use items to them.[13]

China also added a 15 per cent tariff on selected food products from the US.[14]

2nd April: US President Donald Trump announced a comprehensive overhaul of US trade policy—branded as 'liberation day'—introducing significant tariffs on imports from various countries, including a 34 per cent additional tariff on China effective 5th April.[15]

4th April: China announced export controls on seven different types of REEs, namely various derivatives of samarium, gadolinium, terbium, dysprosium, lutetium, scandium and yttrium.[16]

China also placed 16 American companies on its Export Control List and 11 American companies on its Unreliable Entity List.[17]

Additionally, China announced a 34 per cent tariff on all imports from the US, effective 10th April.[18]

8th April: The US raised tariffs on China to 104 per cent.[19]

9th April: China added 12 US entities to its Export Control List.[20]

China raised tariffs to 84 per cent.[21]

9th April: The US raised tariffs to 145 per cent.[22]

4th November: The US lowered its additional tariff rate from 20 per cent to 10 per cent, effective 10th November.[44]

7th November: China announced a 12-month suspension of the export controls announced on 9th October, including the extraterritorial controls.[45]

30th October: The US and Chinese presidents met in South Korea, laying the foundation for a further de-escalation of trade tensions.[43]

10th October: President Trump announced on social media that the US will impose an additional 100 per cent tariff on Chinese imports, and export controls on "any and all critical software" from November in retaliation for China's 9th October announcement. He specifically noted China's extraterritorial controls saying that China announced "large scale Export Controls [sic] on virtually every product they make and some not even made by them."[42]

9th October: China announced export controls on superhard materials, equipment and raw materials for rare earth production and processing, lithium batteries and related materials, and additional controls on certain REEs.[36,37,38,39&40] It also announced extraterritorial controls on some REEs.[41]

29th September: The US announced a new rule which applies entity list restrictions to any entity that is 50 per cent or more owned by a listed entity, something that significantly expanded the scope of US export controls.[35]

12th August: The US and China issued a joint statement following an economic and trade meeting in Stockholm.[33] The meeting lays the groundwork for an additional extension of the 90-day tariff pause, although the US side indicates that it must first obtain approval from the US president before this can be confirmed.[34]

15th July: China imposed export restrictions on key technologies related to critical battery materials and minerals.[32]

2nd June: China responded to Trump's accusation that the Geneva agreement was violated, noting the US Bureau of Industry and Security (BIS) guidance issued on AI chips as well as controls on EDA software.[31]

11th April: China raised tariffs to 125 per cent and indicated that further hikes by the US would not be matched.[23]

11th April: The US exempted some products from tariffs, including some electronic products and parts.[24]

13th May: The US issued guidance aimed at strengthening existing AI chip export controls on China.[28]

12th May: The US and China reached an agreement for a temporary reduction of some tariffs, however, the agreement keeps 20 per cent tariffs in place.[25] The two sides also agreed to a 90-day pause in other trade barriers,[26] including some of China's REE export controls, according to remarks later made by US officials.[27]

30th May: US President Donald Trump accused China of violating the agreement made in Geneva, seemingly due to the remaining REE export controls.[29]

30th May: US authorities sent letters to three companies involved in electronic design automation (EDA) software informing them that their product is now subject to export controls if destined for China.[30]

The Swiss army knife of trade instruments

Export controls have already proved to be a highly effective tool for China. Following the announcement of the US-China economic and trade deal, agreed in South Korea in late October 2025—which was the most significant agreement of the US-China trade war to take place that year—the White House listed the year-long suspension of China's 9th October 2025 export controls and the introduction of a general licence scheme for certain REEs as the two top Chinese concessions.[66] This is notable given that the 9th October 2025 controls, which were announced in the weeks leading up to the meeting, had neither been implemented at that point, nor were they a direct tit-for-tat response to increased US tariffs, as was the case for China's REE export controls announced in April the same year. At least to outside observers, it appeared that China's export controls had overpowered what the US could achieve with tariffs, forcing them to the negotiating table.

During 2025, the rollout of export controls seemed like a quick, defensive measure. Indeed, some REE export controls were announced in close enough succession to US tariff announcements for it to be clear that they were intended as retaliation.[67] However, the development of China's export control framework is a much longer-term project that has implications far beyond the US-China trade war.

That being said, there is still a lack of clarity around exactly what China hopes to achieve. Officially, the dual-use *Regulation*—which was the legislative vehicle for delivering the 2025 REE export controls—is intended "to safeguard national security and national interests, and to fulfil international obligations such as non-proliferation".[68] 'National security' is often broadly interpreted, but 'national interests' implies an even wider scope of activities. Essentially, China's export controls could potentially be used in any way the country sees fit, at least from a legal standpoint.

The main checks on China's power would then be: 1) to what degree can China practically implement the controls it wishes to; and 2) to what extent is China willing to accept any negative impact as a result of the controls it implements in the form of lost investor confidence, and pushback and/or retaliation from trading partners both in the long and short term. In 2025, it became clear that these two factors are interlinked.

Slow processing times for export licences—possibly due to limited administrative resources allocated to review applications—upended company operations and subsequently resulted in global supply chain disruptions, which had a significant impact on many European companies. Whether China expected this level of disruption and accepted it as opposed to it being unintentional is unclear, but the level of prolonged disruption that occurred without any decisive corrective action being taken suggests that it was seen by the authorities as acceptable on some level.

However, the potential disruption caused by the 9th October 2025 controls may have been seen as a step too far, hence them being announced with a substantial lead time before implementation, which enabled them to be used as

---

66 *Fact Sheet: President Donald J. Trump Strikes Deal on Economic and Trade Relations with China,* The White House, 1st November 2025, viewed 21st January 2026, <https://www.whitehouse.gov/fact-sheets/2025/11/fact-sheet-president-donald-j-trump-strikes-deal-on-economic-and-trade-relations-with-china/>

67 On 4th February 2025—just days after the US announced an additional 10 per cent tariff on China—tungsten, tellurium, bismuth, molybdenum and indium were added to China's dual-use item list just as the new US tariff came into effect. Then, on 4th April 2025, the MOFCOM abruptly added an extensive list of REEs to the list, just two days after the US' 'liberation day' tariffs were announced. On the same day, the MOFCOM also added an additional 16 US companies to its 'export control restricted entity list', banning the export of dual-use items for use by these companies and making clear that their priority was retaliation against the US. See: *Fact Sheet: President Donald J. Trump Imposes Tariffs on Imports from Canada, Mexico and China,* The White House, 1st February 2025, viewed 14th October 2025, <https://www.whitehouse.gov/fact-sheets/2025/02/fact-sheet-president-donald-j-trump-imposes-tariffs-on-imports-from-canada-mexico-and-china/>; *Announcement of the Decision to Implement Export Controls on Items Related to Tungsten, Tellurium, Bismuth, Molybdenum and Indium*, MOFCOM, 4th February 2025, viewed 14th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_b31fd5c823484faea7595290eed12acc.html>; *Announcement No.18 of 2025 of The Ministry of Commerce and The General Administration of Customs of The People's Republic of China Announcing the decision to implement export control on some medium and heavy rare earth-related items*, MOFCOM, 4th April 2025, viewed 14th October 2025, <https://english.mofcom.gov.cn/Policies/AnnouncementsOrders/art/2025/art_0dd87cbee7b045bf93fabe6ab2faceee.html>; *Announcement of the Inclusion of 16 US Entities on the Export Control List, MOFCOM*, 4th April 2025, viewed 14th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_eba76b74d5e147c99fd86bc8a47c5b57.html>

68 *Regulations of the People's Republic of China on the Export Control of Dual-use Items*, MOFCOM, 30th September 2024, viewed 21st January 2026, <https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/gzjgfxwj/202410/1057.html>

a bargaining chip with the US. This is speculative, but that is now the nature of China's export control regime: a black box of possibilities that creates a highly unpredictable and unreliable market, which is anathema to business.

It is also becoming clear that China is increasingly comfortable using export controls outside what is easily justifiable under World Trade Organization (WTO) commitments.[69] China's restrictions on the export of REEs to Japan in retaliation for comments made by the country's prime minister serves an example of this.[70] Unlike, the implementation of REE export controls in 2025, which were only understood to be retaliation to escalations in the US-China trade war due to their timing, in this case the MOFCOM directly cited the prime minister's remarks as the reason for implementing the controls.[71]

This kind of event is not new—China had imposed REE export quotas on Japan in 2010, which was reportedly linked to a bilateral dispute at the time[72] —but the stakes are now higher as China's bargaining power has grown. With increasing dominance, not just in a number of key technologies but also vertical control over the entire supply chains of a growing number of goods, it is feasible that the leverage the country has exercised over REEs could be expanded to other goods in the future, and it now has a legal regime that allows for this.

Furthermore, as demonstrated by the US, extraterritorial control can be exerted without proactively cooperative partners. China potentially has an even greater advantage in this regard, given that it could use a vague interpretation of the rules to enforce controls when it sees fit, while allowing for most trade to still function normally.

As already mentioned, in the long run, the most likely limit on China's export control ambitions will be its trading partners and the actions they take in response. As the US has discovered, export controls on strategic goods frequently result in adversaries accelerating initiatives to become self-reliant in producing those goods. The EU must therefore make clear to China what the fallout of a heavy-handed export control regime will be and why taking a lighter touch would be more mutually beneficial. While this is unlikely to reverse China's export control ambitions, it could encourage the country to adopt a narrower scope.

69 There are exemptions to WTO restrictions on export controls, including for national security reasons. See: *International Export Regulations and Controls: Navigating the global framework beyond WTO rules*, World Trade Organization, 2023, viewed 21st January 2026, <https://www.wto.org/english/res_e/publications_e/international_exp_regs_e.htm>

70 Emont, J., *China Deprives Japan of Rare-Earths Supply, Escalating Dispute, The Wall Street Journal*, 8th January 2026, viewed 19th January 2026, <https://www.wsj.com/world/asia/china-deprives-japan-of-rare-earths-supply-escalating-dispute-41e7750c>

71 *Spokesperson for the Ministry of Commerce Responds to Journalists' Questions Regarding Enhanced Export Controls on Dual-Use Items to Japan*, MOFCOM, 6th January 2026, viewed 20th January 2026, <https://www.mofcom.gov.cn/xwfb/xwfyrth/art/2026/art_1f25cb39adfa4561b34b4ea46d2bcee7.html>

72 Bradsher, K., *China Bans Rare Earth Exports to Japan Amid Tension, CNBC*, 23rd September 2010, viewed 21st January 2026, <https://www.cnbc.com/2010/09/23/china-bans-rare-earth-exports-to-japan-amid-tension.html>

Weaponisation of export controls: European companies caught in the crossfire

China's export controls have not impacted all European Chamber members, but for those that have been impacted, the consequences have often been severe, and the actions they are taking in response could affect China's standing as a sourcing destination.

In November 2025, the European Chamber conducted a flash survey of its member companies on China's export control regime, which found that a third of impacted companies were looking to divert sourcing away from China as a result.[73] This thinking has been prompted both by the impact of the existing controls and the impact that future controls could have.

Some companies had already suffered substantial losses at the time of the survey: one respondent estimated that it would take a financial hit equivalent to 20 per cent of its global annual revenue in 2025 based on controls that had already been implemented.[74] Forecasts related to China's 9th October 2025 controls were also grim, with one multinational company (MNC) estimating that if the new controls were implemented as announced, China's export control regime would cost them around quarter of a billion euros a year.[75] However, more importantly than cost, Chamber members in critical sectors such as medical devices have expressed concerns about the potential for China's export control regime—which lacks adequately broad humanitarian exemptions—to potentially disrupt the supply of lifesaving medical care.

As previously mentioned, much of the supply chain disruption in 2025 was due to ongoing delays with the licensing process, with 40 per cent of survey respondents indicating that licensing approvals added more than two months to delivery timelines.[76] Some of the worst crises were averted, in part due to a substantial effort by both the EU and European Chamber to work with China on expediting the most urgent licence applications. But the sudden rollout of REE controls still pushed supply chains to their limit and served as a wakeup call for the EU and European companies, and will be remembered as the defining crisis for EU-China relations in 2025.

A challenging licensing system

At the beginning of 2026, some companies noted a gradual improvement in the licensing system, with a reduction in processing times that has allowed their supply chains to recover. But in many cases the licensing process remains slow, unpredictable, uncoordinated and lacks transparency. Companies have noted that obtaining licences for exports to some non-EU countries remains impossible in practice, with no official explanation as to why. Even when licences are granted, customs clearance remains a barrier for many shipments: sometimes snap requirements for laboratory tests of goods for export are imposed, with no clarity over subsequent processes or timelines; in other cases, the validity of documents issued by the MOFCOM is questioned by local customs authorities.

How does the licensing process work?

The licensing process for goods subject to dual-use export controls is complex, involving both local and central authorities, as well as multiple companies along the supply chain. This explainer is based on the European Chamber's best understanding of the process at time of writing, which may be subject to change or vary

73 *European Chamber Survey Finds One in Three Looking to Divert Sourcing Away from China to Mitigate Impact of Export Controls,* European Chamber, 1st December 2025, viewed 12th February 2026, <https://www.europeanchamber.com.cn/en/press-releases/3757/european_chamber_survey_finds_one_in_three_looking_to_divert_sourcing_away_from_china_to_mitigate_impact_of_export_controls>

74 *Ibid.*

75 *Ibid.*

76 *Ibid.*

depending on individual circumstances. The Chamber also used information published by the MOFCOM on the dual-use export control approval process.[77&78]

Step One: Determining whether an item is subject to export controls

China’s MOFCOM maintains the *List of Dual-use Items Subject to Export Controls* (*List*).

While the *List* contains descriptions of controlled items, some details are subject to interpretation. For this reason, companies unsure of whether an item is subject to export controls can submit information including technical specifications and the primary use for an item as well an explanation of why they are uncertain about its status to the MOFCOM. The company will receive a response, which—if a determination is made that the item is not subject to dual-use export controls—can be presented to customs authorities. If the item is subject to dual-use export controls, the company must proceed through the licensing process.

Step two: Preparing for a licence application

Typically, the exporter of the item subject to export controls will submit a licence application. However, preparing the application will likely involve multiple companies along the supply chain. Using the automotive industry as an example, an application could involve an REE supplier, a tier-two component supplier,[79] a tier-one component supplier,[80] and an original equipment manufacturer (OEM).[81] The REE supplier will submit the necessary information from each of these parties and submit an application to its local department of commerce.

Application materials include:

1. Application form (two pages including basic information about the item being shipped and its end use)
2. Identity documents for the applicant's legal representative, principal business manager, and authorised representative
3. Copies of contracts, agreements or other supporting documentation relating to the export of the controlled item
4. Technical specifications or test reports for the item
5. ‘End-User and End-Use Certificate’ (A letter from the end user signed and stamped that promises the controlled item will only be used for the purpose stated in the application.)
6. Information on importers and end users
7. Other documents required by authorities

Step three: Application submitted to provincial department of commerce

Applications are first submitted to a provincial department of commerce. Once approved locally, they are forwarded to the MOFCOM for further processing.

Step four: MOFCOM processing

Once received from provincial departments of commerce, applications go through at least three levels of processing at the MOFCOM, with final approval occurring at the bureau deputy director general or director

77 *Approval for the Import and Export of Dual-use Items and Technology,* MOFCOM, December 2024, viewed 26th February 2026, <https://www.mofcom.gov.cn/zwdt/lywxhjsjcksp/index.html>
78 A draft of this explainer was provided to the MOFCOM prior to publication to ensure accuracy, but they declined to comment.
79 In the automotive industry, tier-two suppliers make components or otherwise provide inputs to tier-one suppliers.
80 In the automotive industry, tier-one suppliers make components that are then directly incorporated into vehicle assembly, such as engines.
81 In the automotive industry, an OEM refers to the final step of the production chain where finished vehicles are assembled.

general level. However, some applications can require approval at the minister or vice minister level or even be sent to the State Council for further processing.

According to the MOFCOM, applications are typically processed within 45 working days from submission, although they note that applications which require State Council or Central Military Commission Approval, the solicitation of expert opinions, or exporter or end-user onsite checks are not subject to any time limit.

Step five (optional): Submission to the European Union's (EU's) licence monitoring platform (IT tool)

If an application is destined for an end user in the EU, the application details (which include an application number) can be submitted to the EU's licence monitoring platform, also known as the IT tool. The European Commission then submits application details that have been uploaded to the platform to the MOFCOM in batches, requesting that their processing be expedited.

Step six: Licence granted and shipment proceeds for customs clearance

Once a licence has been approved by the MOFCOM, the provincial department of commerce issues a licence. The single approved shipment can then be sent for customs clearance. As part of the clearance process, customs officials may require that a shipment undergo testing at approved laboratories.

Step seven: Shipment clears customs and departs China

Once customs officials are satisfied that a shipment meets the stipulations set out by the goods owner's licence (which includes a total quantity and specific composition of the goods being shipped), it will be cleared for departure from China. After this point, companies are still responsible for ensuring that the shipment is used in the way described in the licence application.

Step eight (optional): Consider applying for a general licence

A chain of companies that have a history of successfully applying for single licences (each for one shipment at a time) can consider applying for a general licence (valid for multiple shipments over a period of up to three years). The application process is similar to that of a single licence, as the original supplier of the controlled item submits the application, which will contain information on the other companies in the relevant supply chain. For example, in the case of REEs in the automotive sector, this could include an REE supplier, a tier-two supplier, a tier-one supplier and an OEM. The licence will be restricted by quantity and be limited to a single type of controlled item moving between these companies. Companies shipping multiple types of controlled items or the same type of item between different suppliers can apply for multiple general licences.

Some companies report that general licences represent an improvement over the single licence process, but for others the large amount of additional information required, and/or the fact that a general licence application prevents the processing of single licence applications, makes them unattractive. Another disadvantage is that the general licence scheme in place essentially works like a single licence that can be applied to multiple, identical shipments and does not provide exemptions for goods across a certain category, such as those for medical use. A general licence also does not allow a company to freely distribute the quantity that it is allotted throughout the licence period but rather requires them to evenly spread shipments across each quarter of the year. This creates a problem for companies that have uneven demand over the course of a year and may need more REEs at a given time, while needing less at another.

General licence quantity limits also present a challenge. Members report that these are calculated based on average exports over the past three years and that years in which no exports occurred are counted as zero, bringing down averages. While there is some flexibility which allows companies to export more than their strict average, it is often not enough. For companies, this represents not only a barrier to business growth but a restriction that can threaten their ability to maintain the supply of products at existing levels.

In other cases, companies that wish to obtain general licences simply cannot get them. For example, it has been reported that smaller suppliers have more difficulty applying for general licences. There are no publicly available criteria for general licences, making the system opaque and leaving companies with no certainty as to what they could do to make them eligible. Furthermore, while a general licence theoretically alleviates some of the administrative burden of submitting applications for each shipment—and reduces the chances of unexpected administrative frictions resulting in disruptions—it does nothing to alleviate many of the longer-term concerns European companies are developing about China's export control regime overall.

The power China now wields—in terms of first identifying and then being able to cut off access to critical inputs at any time through measures that have clear legal backing—means that European companies with strategic dependencies on China have no choice but to seek alternatives, no matter how long it takes.

According to the European Chamber's November 2025 flash survey on China's export controls, 36 per cent of respondents plan to actively work with suppliers outside of China to develop more capacity.[82] One MNC interviewed for this report—not involved in the mining sector—is even open to the possibility of investing in REE mining in Europe, should economic and policy conditions for this be favourable enough. However, even if alternative capacity was developed elsewhere at a scale that would constitute a meaningful alternative to Chinese REEs, it would still be difficult for many companies to wean themselves off their dependence on China due to the cost advantage it holds.

Another solution to reduce reliance on Chinese REEs is to limit the quantity of materials needed. Companies have reported intentions to modify their products where possible, designing them to use different REEs or less of those they currently use. Given that a feature of the licensing system is a limit on quantity based on a company's exports in the previous year, companies are also looking for ways to ensure that they can grow or shrink production in any given year depending on demand, without compromising their access to REEs in the future.

Another feature of the licensing process has required—in some cases—companies to share very specific information about product designs with Chinese authorities, leading to concerns about intellectual property leakage, as well as broader concerns about the ability China now has to map critical dependencies from the geographical level, all the way down to the industry, company and individual component levels. While there are only limited reports of this from European Chamber members, the information provided as part of standard licence applications already provides China with enough detail to precisely adjust the flow of REEs for any given company in a way that either restricts their growth or allows them to scrape by with just enough access, but never to feel confident in their supply, leaving them in a perpetual firefighting mode. This also provides China with the ability to inflict significant damage on a company or industry in a highly targeted way should the need arise in the future.

Approaching an extraterritorial export control cliff

Out of all the Chinese export controls released so far, those with proposed extraterritorial provisions announced on 9th October 2025 present the most serious risk to many European Chamber members. While questions remain over their exact scope, as well as to how they would be implemented, initial corporate assessments carried out suggest that their impact could be vast. Companies would have to obtain approval from the MOFCOM to export, in some

82 *European Chamber Survey Finds One in Three Looking to Divert Sourcing Away from China to Mitigate Impact of Export Controls*, European Chamber, 1st December 2025, viewed 12th February 2026, <https://www.europeanchamber.com.cn/en/press-releases/3757/european_chamber_survey_finds_one_in_three_looking_to_divert_sourcing_away_from_china_to_mitigate_impact_of_export_controls>

cases, most of their products from anywhere in the world to anywhere in the world. Even if the MOFCOM were able to process applications on the 45-working-day timeline that it currently uses, and assuming all applications were approved, there would still be significant disruptions to global supply chains. In fact, the scale of disruption possible is great enough that some companies interviewed for this report are not even preparing for the potential implementation of these controls, given that there is no reasonable way to do so without more detail on *how* they would be implemented.

It is possible that they would be implemented in a vague way to ease enforcement. To some extent, this is how China's early 2026 restriction of dual-use item exports to Japanese military users—which has an extraterritorial scope[83] —has been implemented. There are no clear guidelines as to when a licence would be required or how enforcement works, meaning that China could chose to punish an entity for violating the rules at any time. Taking a similar approach for its 9th October 2025 extraterritorial export controls might prevent immediate supply chain disruptions but would significantly heighten the risk for companies that rely on China for critical inputs, something that would be to China's detriment in the long run. It should also not be assumed that the MOFCOM would take such a pragmatic approach, given their high tolerance for supply chain disruptions during the implementation of new REE export controls in 2025.

Regardless of exactly if, how or when extraterritorial export controls are implemented, China's export control legal framework makes clear that they will remain on the table. For this reason, it is important to make clear the impact that their subsequent implementation would have on the global economy.

Multiple European companies interviewed for this report noted that they felt the US was best placed to engage with China to prevent the implementation of the 9th October 2025 export controls, given that they did so once before. However, given the potentially devasting impact that these controls could have on the EU, it is important that the bloc's leadership are also part of any future discussions on this topic. It is important that the EU make clear that it is in both its and China's interests to prevent European companies from once again becoming collateral damage if China is unable to make a deal with the US in late 2026, and the extraterritorial controls are subsequently implemented.

Europe in a slow-moving crisis

In the short term, China can continue to leverage the EU's critical dependencies. European Chamber members interviewed for this report have widely acknowledged a dependence on China that will be unshakeable for years at best. However, unlike the US, which has focussed very openly on trying to restrict China's competitiveness regardless of the cost, the EU remains interested in a long-term, mutually beneficial relationship with the country. European companies in China are not only fully aligned with this goal but remain one of the best avenues for advocating for it, given their extensive understanding of China's strengths and their track record of operating successfully in the country.

Unfortunately, China's REE export control rollout in 2025 and the yet-to-be implemented controls announced on 9th October 2025 are creating a level of uncertainty that is compelling companies to reassess their present levels of exposure to China in their global supply chains. These developments have also threatened economic and, to an extent, national security in Europe as the lines between these two concepts increasingly blur.[84] The products disrupted by China's REE export controls range from non-essential consumer goods to key equipment needed to power economic growth and lifesaving medical equipment. The EU's scale of dependence on China is great enough

83 The notice states that, "any organisation or individual from any country or region that contravenes the aforementioned provisions by transferring or supplying relevant dual-use items originating from the People's Republic of China to organisations or individuals in Japan shall be held legally accountable in accordance with the law." See: *Announcement No. 1 of 2026 by the Ministry of Commerce Announcement on Strengthening Export Controls on Dual-use Items to Japan*, MOFCOM, 6th January 2026, viewed 12th February 2026, <https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/zcfggzqd/202601/1206.html>

84 In her speech at the 2025 Berlin Global Dialogue, European Commission President Ursula von der Leyen noted the increasing crossover between economic security and national security and detailed the threat that China's export controls present to the EU. See: *Speech by President von der Leyen at the 2025 Berlin Global Dialogue*, European Commission, 25th October 2025, viewed 3rd March 2026, <https://ec.europa.eu/commission/presscorner/detail/en/speech_25_2515>

that the country—through its export control regime—could now inflict an unprecedented level of damage on Europe’s economy should it choose to. Although this is not likely in the near term, it cannot be ignored and is something that requires immediate and decisive action from the EU.

Conclusion: China can stop the race to the bottom

The goal of any traditional export control regime should be to make every effort to only control items that are likely to have military uses, while allowing for trade in other areas to flourish. The US has undoubtedly served as the initiator of the race to repurpose export controls for strategic aims, with restrictions on Huawei, for example, driven by a fusion of concerns related to foreign policy, national security and economic security.[85] Well into the second Trump administration, the idea that dual-use export controls are limited to stopping or slowing the spread of weapons to hostile actors is now fading. However, defining the export control debate in terms of only the US and China is to neglect the important role played by the EU.

China would be quick to point out that EU Member States—such as the Netherlands—have played an active role in helping the US carry out export controls,[86] including those that appear to have clear strategic and economic security aims beyond the limits of what 'dual use' typically entails. This is a valid criticism, and the EU has now also effectively laid the groundwork to start using export controls for economic security purposes. Its new economic security doctrine suggests developing remedies for "hostile actions weaponising interdependencies" and "reinforc[ing] export controls".[87] The key difference with the EU's approach is that it is comparatively limited in scope. Given that the bloc is not controlled by a central government like China, nor a federalist system like the US, there are limits on what is possible. Furthermore, the EU continues to have a strong desire to adhere to the international, rules-based trading order. EU export controls are therefore likely to remain carefully moderated.

This is good news for China. It needs a trading partner that it can rely on in the long-term to maintain a prosperous economy that still depends heavily on exports, of which the EU is a major recipient. This underlines that importance of separating the EU from the US, instead of continuing to apply export controls in a way that have, in some cases, harmed EU companies more than US companies. In fact, according to some reports, some licence applications for US companies took precedent over those for EU companies,[88] likely due to China's concerns about US retaliation and direct negotiations between the US and China.

If the EU continues to suffer for taking a more moderate approach and attempting to play by the rules to the greatest extent possible, the EU and its companies will have no choice than to pursue alternatives to China. Given the long-term risks that European companies have already identified, it will not be possible to stop this process entirely, even with a complete reversal of course. But if China were to settle on an export control regime that is more predictable and limited in scope, companies would feel more confident in continuing to source from the country and make investment plans accordingly. The same, to some extent, applies to the EU's willingness to continue to rely on China as a dependable trade partner. The potential implementation of extraterritorial export controls, now delayed until 10th November 2026,[89] presents a fundamental threat to this.

Export controls should be proportionate to the genuine risk of a product being used for military purposes, but China's proposed extraterritorial export controls—that many European Chamber members have indicated will impact a significant portion of their products—go well beyond such an approach. Instead, the implementation of these controls

85 Gallagher, J.C., *U.S. Restrictions on Huawei Technologies: National Security, Foreign Policy, and Economic Interests,* Congress.gov, 5th January 2022, viewed 13th February 2026, <https://www.congress.gov/crs-product/R47012>

86 Shen, W., and Ma, J., *Dutch export controls come into effect; following Washington 'will only lead to backlash' as China's tech progress continues despite US sanctions: observer, Global Times,* 1st September 2023, viewed 13th February 2026, <https://www.globaltimes.cn/page/202309/1297419.shtml>

87 Szczepański, M., *New EU economic security doctrine*, European Parliamentary Research Service, June 2025, viewed 12th February 2026, <https://www.europarl.europa.eu/RegData/etudes/BRIE/2025/772915/EPRS_BRI(2025)772915_EN.pdf>

88 *China's Rare Earth Export Controls: What Recent Shifts Mean for Global Trade, MiC*, 1st December 2025, viewed 23rd January 2026, <https://www.mic-cust.com/mic-blog/posts/detail/ad/chinas-rare-earth-export-controls-what-recent-shifts-mean-for-global-trade/>

89 *Announcement No. 70 of 2025 by the Ministry of Commerce and the General Administration of Customs Announcement of the Decision to Suspend the Implementation of Announcements Nos. 55, 56, 57, and 58 of 2025 by the Ministry of Commerce and the General Administration of Customs, and Announcements Nos. 61 and 62 of 2025 by the Ministry of Commerce,* MOFCOM, 7th November 2025, viewed 12th February 2026, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_2ec8b9f2c6404a56b311abc82d87f486.html>

could disrupt global supply chains on an unprecedented scale, leading to both economic and non-economic damage. Such a disruption would do irreversible damage to the EU-China relationship.

Export controls will remain an important tool to slow the spread of weapons and reduce the likelihood of armed conflict, but their use for strategic purposes must be measured. With the US moving away from globalisation and the EU continuing to hold on to the rules-based global trading order for as long as possible, China has a choice to make. It can take steps to ensure that its export control regime is less disruptive, allowing globalisation to continue to function or it can allow export controls to dismantle mutually beneficial economic interdependence globally. To continue down the latter path would be shortsighted and neglect the immense benefits that a globalised economy has brought to China’s development.

European Chamber
中国欧盟商会

Appendix

Law/regulation	Link (or source if full text is unavailable)
Regulations on the Administration of Controlled Chemicals	https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/gzjgfxwj/202111/439.html
Regulations on Nuclear Export Controls	https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/gzjgfxwj/202111/440.html
Regulations on the Administration of Military Goods Exports	https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/gzjgfxwj/202111/441.html
Regulations on Nuclear Dual-use Items and Related Technologies Export Controls	https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/gzjgfxwj/202111/445.html
Catalogue of Technologies Prohibited or Restricted for Export from China	https://policy.mofcom.gov.cn/claw/clawContent.shtml?id=5808
Regulations on the Administration of Technology Import and Export	https://fms.mofcom.gov.cn/zcfg/jsjckzcfg/art/2005/art_c95ea117c3d54363b1af78ae52c8ebf4.html
Regulations on Missiles and Missile-related Items and Technologies Export Controls	https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/gzjgfxwj/202111/443.html
Regulations on Dual-use Biological Agents and Related Equipment and Technologies Export Controls	https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/gzjgfxwj/202111/444.html
Measures for the Administration of Import and Export Licensing of Dual-use Items and Technologies	https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/zcfggzqd/202111/504.html
Provisions on the Unreliable Entity List	https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/zcfggzqd/202111/446.html
Export Control Law	https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/flfg/202111/226.html
Regulation on the Export Control of Dual-use Items	https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/gzjgfxwj/202410/1057.html
List of Dual-use Items Subject to Export Controls	https://www.mofcom.gov.cn/zcfb/zc/art/2024/art_461aafbb5e974f47b1c23866643cb71c.html

Endnotes

1. *Implementation of Additional Export Controls: Certain Advanced Computing and Semiconductor Manufacturing Items; Supercomputer and Semiconductor End Use; Entity List Modification*, Department of Commerce, Bureau of Industry and Security, 7th October 2022, viewed 12th February 2026, <https://www.federalregister.gov/documents/2022/10/13/2022-21658/implementation-of-additional-export-controls-certain-advanced-computing-and-semiconductor>

2. *Announcement No. 23 of 2023 by the Ministry of Commerce and the General Administration of Customs, Announcement on Implementing Export Controls on Gallium and Germanium-related Items*, MOFCOM, 3rd July 2023, 12th February 2026, <https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/zcfggzqd/202307/847.html>

3. *Commerce Strengthens Restrictions on Advanced Computing Semiconductors, Semiconductor Manufacturing Equipment, and Supercomputing Items to Countries of Concern*, Department of Commerce, Bureau of Industry and Security, 18th October 2023, viewed 12th February 2026, <https://www.bis.gov/node/20219>

4. *Announcement by the Ministry of Commerce and the General Administration of Customs on Optimising and Adjusting Temporary Export Control Measures for Graphite Items*, MOFCOM, 20th October 2023, viewed 12th February 2026, <https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/zcfggzqd/202310/912.html>

5. *Graphite in batteries*, European Carbon and Graphite Association, February 2022, viewed 12th February 2026, <https://ecga.net/wp-content/uploads/2023/02/Graphite-in-batteries_Infosheet_final.pdf>

6. *Announcement No. 33 of 2024 by the Ministry of Commerce and the General Administration of Customs Announcement on Implementing Export Controls on Antimony and Other Items*, MOFCOM, 26th August 2024, viewed 12th February 2026, <https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/zcfggzqd/202408/1024.html>

7. Gasdia-Cochrane, M., *INFOGRAPHIC: 9 Fast Facts About Antimony,* Thermo Fisher Scientific, 15th July 2025, viewed 12th February 2026, <https://www.thermofisher.cn/blog/mining/infographic-9-fast-facts-about-antimony/>

8. *Commerce Strengthens Export Controls to Restrict China’s Capability to Produce Advanced Semiconductors for Military Applications,* US Department of Commerce, Bureau of Industry and Security, 2nd December 2024, viewed 12th February 2026, <bis.gov/press-release/commerce-strengthens-export-controls-restrict-chinas-capability-produce-advanced-semiconductors-military>

9. Burkhart, W.F., and Hammond, K.E., *Presidential 2025 Tariff Actions: Timeline and Status,* Congress.gov, 12th January 2026, viewed 12th February 2026, <https://www.congress.gov/crs-product/R48549>

10. *Announcement No. 10 of 2025 by the Ministry of Commerce and the General Administration of Customs Announcement of the Decision to Implement Export Controls on Items Related to Tungsten, Tellurium, Bismuth, Molybdenum and Indium*, MOFCOM, 4th February 2025, viewed 12th February 2026, <https://exportcontrol.mofcom.gov.cn/article/zcfg/gnzcfg/zcfggzqd/202502/1098.html>

11. *Announcement by the Customs Tariff Commission of the State Council on the Imposition of Additional Tariffs on Certain Imported Goods Originating in the United States*, Ministry of Finance, 4th February 2025, viewed 12th February 2026, <https://www.mof.gov.cn/zhengwuxinxi/caizhengxinwen/202502/t20250204_3955222.htm>

12. Burkhart, W.F., and Hammond, K.E., *Presidential 2025 Tariff Actions: Timeline and Status*, Congress.gov, 12th January 2026, viewed 12th February 2026, <https://www.congress.gov/crs-product/R48549>

13. *Announcement No. 13 of 2025 by the Ministry of Commerce Publication of 15 US Entities Added to Export Control List,* MOFCOM, 4th March 2025, viewed 12th February 2026, <https://www.mofcom.gov.cn/zwgk/zcfb/art/2025/art_e1ea9512b1f84dc6b1a17f703fa4cf56.html>

14. *Announcement by the Customs Tariff Commission of the State Council on the Imposition of Additional Tariffs on Certain Imported Goods Originating in the US*, Ministry of Finance, 4th March 2025, viewed 12th February 2026, <https://gss.mof.gov.cn/gzdt/zhengcefabu/202503/t20250304_3959228.htm>

15. *Fact Sheet: President Donald J. Trump Declares National Emergency to Increase our Competitive Edge, Protect our Sovereignty, and Strengthen our National and Economic Security,* The White House, 2nd April 2025, viewed 12th February 2026, <https://www.whitehouse.gov/fact-sheets/2025/04/fact-sheet-president-donald-j-trump-declares-national-emergency-to-increase-our-competitive-edge-protect-our-sovereignty-and-strengthen-our-national-and-economic-security/>

16. *Announcement No. 18 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision to Implement Export Controls on Certain Medium and Heavy Rare Earth-related Items*, MOFCOM, 4th April 2025, viewed 12th February 2026, <https://www.mofcom.gov.cn/zwgk/zcfb/art/2025/art_9c2108ccaf754f22a34abab2fedaa944.html>

17. *Ministry of Commerce Announcement No. 21 of 2025 Announcement of the Inclusion of 16 US Entities on the Export Control List*, MOFCOM, 4th April 2025, viewed 12th February 2026, <https://www.mofcom.gov.cn/zwgk/zcfb/art/2025/art_906685e3930048baa0fd95a651fd628d.html>

18. *Announcement by the Customs Tariff Commission of the State Council on the Imposition of Additional Tariffs on Imported Goods Originating in the United States*, MOFCOM, 4th April 2025, viewed 12th February 2026, <https://www.mof.gov.cn/jrttts/202505/t20250521_3964265.htm>

19. *AMENDMENT TO RECIPROCAL TARIFFS AND UPDATED DUTIES AS APPLIED TO LOW-VALUE IMPORTS FROM THE PEOPLE'S REPUBLIC OF CHINA*, The White House, 8th April 2025, viewed 12th February 2026, <https://www.whitehouse.gov/presidential-actions/2025/04/amendment-to-recipricol-tariffs-and-updated-duties-as-applied-to-low-value-imports-from-the-peoples-republic-of-china/>

20. *Ministry of Commerce Announcement No. 22 of 2025 Announcement of the Inclusion of 12 US Entities on the Export Control List,* MOFCOM, 9th April 2025, viewed 12th February 2026, <https://www.mofcom.gov.cn/zwgk/zcfb/art/2025/art_c6b190344a154e6f831e0fdfc190e41e.html>

21. *Announcement by the Customs Tariff Commission of the State Council on Adjusting the Tariff Measures Imposed on Imported Goods Originating in the United States*, MOFCOM, 9th April 2025, viewed 12th February 2026, <https://www.mof.gov.cn/jrttts/202505/t20250521_3964265.htm>

22. *MODIFYING RECIPROCAL TARIFF RATES TO REFLECT TRADING PARTNER RETALIATION AND ALIGNMENT,* The White House, 9th April 2025, viewed 12th February 2026, <https://www.whitehouse.gov/presidential-actions/2025/04/modifying-reciprocal-tariff-rates-to-reflect-trading-partner-retaliation-and-alignment/>

23. *Announcement No. 6 of 2025 by the Customs Tariff Commission of the State Council,* MOFCOM, 11th April 2025, viewed 12th February 2026, <https://www.mofcom.gov.cn/zcfb/zgdwjjmywg/art/2025/art_3e9296cef51f448bad9bbce4b48fadab.html>

24. *Clarification of Exceptions Under Executive Order 14257 of April 2, 2025, as Amended,* The White House, 11th April 2025, viewed 12th February 2026, <https://www.whitehouse.gov/presidential-actions/2025/04/clarification-of-exceptions-under-executive-order-14257-of-april-2-2025-as-amended/>

25. *Full text: Joint Statement on China-U.S. Economic and Trade Meeting in Geneva, Xinhua*, 12th May 2025, viewed 12th February 2026, <https://english.www.gov.cn/news/202505/12/content_WS6821a0bbc6d0868f4e8f2792.html>

26. *Ibid*.

27. *Transcript: Treasury Secretary Scott Bessent on "Face the Nation with Margaret Brennan", CBS News,* 1st June 2025, viewed 12th February 2026, <https://www.cbsnews.com/news/scott-bessent-treasury-secretary-face-the-nation-06-01-2025/>

28. *Industry Guidance to Prevent Diversion of Advanced Computing Integrated Circuits*, US Department of Commerce, Bureau of Industry and Security, 13th May 2025, 12th February 2026, <https://www.bis.gov/media/documents/ai-counter-diversion-industry-guidance-may-13-2025.pdf>

29. Trump, D.J., Truth Social, 30th May 2025, viewed 12th February 2026, <https://truthsocial.com/@realDonaldTrump/posts/114596705340367716>

30. Schlager, I.A., Schenk, J.A., Hague, L., Wu, J., Lable, C.A., and Kabealo, J.P., *BIS Takes Aim at Chinese Semiconductor Industry With Novel Export Controls Approach,* Kirkland & Ellis, 30th June 2025, viewed 12th February 2026, <https://www.kirkland.com/publications/kirkland-alert/2025/06/bis-takes-aim-at-chinese-semiconductor>

31. *Spokesperson for the Ministry of Commerce Responds to Journalists' Questions Regarding Relevant Remarks by the United States,* MOFCOM, 2nd June 2025, viewed 12th February 2026, <https://www.mofcom.gov.cn/xwfb/xwfyrth/art/2025/art_6b2d4a2b91644a8ca0284867769a9713.html>

32. *Announcement No. 28 of 2025 by the Ministry of Commerce and the Ministry of Science and Technology Announcement on Adjusting and Issuing the Catalogue of Technologies Prohibited and Restricted for Export from China,* MOFCOM, 15th July 2025, viewed 12th February 2026, <https://fms.mofcom.gov.cn/zcfg/jsjckzcfg/art/2025/art_ba35a101c22c4f6e844f749cb0a98552.html>

33. *Full text: Joint Statement on China-U.S. Economic and Trade Meeting in Stockholm, Xinhua*, 12th August 2025, viewed 12th February 2026, <https://english.www.gov.cn/news/202508/12/content_WS689a8cc5c6d0868f4e8f4c34.html>

34. Breuninger, K., *U.S.-China trade talks end without extension of tariff truce, as Trump weighs options*, *CNBC*, 29th July 2025, viewed 13th February 2026, <https://www.cnbc.com/2025/07/29/trump-china-trade-tariffs-bessent.html>

35. *Department of Commerce Expands Entity List to Cover Affiliates of Listed Entities,* Bureau of Industry and Security, Department of Commerce, 29th September 2025, viewed 3rd March 2026, <https://www.bis.gov/press-release/department-commerce-expands-entity-list-cover-affiliates-listed-entities>

36. *Announcement No. 58 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision to Implement Export Controls on Items Related to Lithium Batteries and Artificial Graphite Anode Materials,* MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_aacba813b5b04e79a530aee7223b74a0.html>

37. *Announcement No. 62 of 2025 by the Ministry of Commerce Decision on the Implementation of Export Controls on Rare Earth-related Technologies,* MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_45be37e549f44e91a2c2b2f16389687a.html>

38. *Announcement No. 55 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision on the Implementation of Export Controls on Items Related to Superhard Materials*, MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_333950798cb04c7a8c517cdecf9c564c.html>

39. *Announcement No. 56 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision to Implement Export Controls on Certain Rare Earth Equipment and Related Raw and Auxiliary Materials*, MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_9ee7af86f4274dc1ad16d6d6a5e47245.html>

40. *Announcement No. 57 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision on Implementing Export Controls on Certain Medium and Heavy Rare Earth-related Items*, MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_1ace3f9f948845758206ad0be6869161.html>

41. *Announcement No. 61 of 2025 by the Ministry of Commerce Decision on the Implementation of Export Controls on Relevant Rare Earth Items Overseas,* MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_e1b8bcd4bcb84eba9e1adc56b4101157.html>

42. Trump, D.J., Truth Social, 11th October 2025, viewed 12th February 2026, <https://truthsocial.com/@realDonaldTrump/posts/115351840469973590>

43. *Xi meets Trump in South Korea, Xinhua*, 30th October 2025, viewed 12th February 2026, <https://english.www.gov.cn/news/202510/30/content_WS6902c83dc6d00ca5f9a072d5.html>

44. *Modifying Duties Addressing the Synthetic Opioid Supply Chain in the People's Republic of China,* Federal Register, 4th November 2025, viewed 12th February 2026, <https://www.federalregister.gov/documents/2025/11/07/2025-19825/modifying-duties-addressing-the-synthetic-opioid-supply-chain-in-the-peoples-republic-of-china>

45. *Announcement No. 70 of 2025 by the Ministry of Commerce and the General Administration of Customs Announcement of the Decision to Suspend the Implementation of Announcements Nos. 55, 56, 57, and 58 of 2025 by the Ministry of Commerce and the General Administration of Customs, and Announcements Nos. 61 and 62 of 2025 by the Ministry of Commerce*, MOFCOM, 7th November 2025, viewed 12th February 2026, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_2ec8b9f2c6404a56b311abc82d87f486.html>

Abbreviations

AI	Artificial Intelligence
BIS	Bureau of Industry and Security
EDA	Electronic Design Automation
EU	European Union
IC	Integrated Circuit
MNC	Multinational Company
MOFCOM	Ministry of Commerce
OEM	Original Equipment Manufacturer
REE	Rare Earth Element
US	United States
WTO	World Trade Organization

European Chamber
中国欧盟商会

Beijing
Tel: +86 (10) 6462 2066
Fax: +86 (10) 6462 2067
Email: euccc@europeanchamber.com.cn

Nanjing
Tel: +86 (25) 8362 7330
Fax: +86 (25) 8362 7331
Email: nanjing@europeanchamber.com.cn

Qingdao
Tel: +86 139 1819 7149
Email: qingdao@europeanchamber.com.cn

Shanghai
Tel: +86 (21) 6385 2023
Fax: +86 (21) 6385 2381
Email: shanghai@europeanchamber.com.cn

Shenyang
Tel: +86 (24) 3198 4229
Fax: +86 (24) 3198 4229
Email: shenyang@europeanchamber.com.cn

South China - Guangzhou
Tel: +86 (20) 3801 1307
Fax: +86 (20) 3801 0275
Email: southchina@europeanchamber.com.cn

South China - Shenzhen
Tel: +86 (755) 8635 0974
Email: southchina@europeanchamber.com.cn

Southwest - Chengdu
Tel: +86 (28) 8527 6517
Fax: +86 (28) 8527 6517
Email: chengdu@europeanchamber.com.cn

Southwest - Chongqing
Tel: +86 (23) 6308 5669
Fax: +86 (23) 6308 5669
Email: chongqing@europeanchamber.com.cn

Tianjin
Tel: +86 (22) 5830 7608
Fax: +86 (22) 5830 7608
Email: tianjin@europeanchamber.com.cn